



The Impact of HB 96 on Ohio School Funding

Brecksville-Broadview Heights City Schools Analysis

This presentation provides an in-depth review of the approved Substitute House Bill 96, analyzing its specific provisions and budgetary constraints for our district. We'll examine how the new law directly affects our financial situation compared to comparable districts, evaluate the impact of inflation, and provide updates on the Governor's vetoes and potential legislative overrides.

Understanding the Approved House Bill 96

Scale and Scope

HB 96 is Ohio's biennial budget for State Fiscal Years 2026-2027, allocating approximately **\$200 billion** in state and federal spending. This makes it one of the largest financial policy documents in Ohio history.

Implementation Timeline

The bill was signed into law by Governor Mike DeWine on June 30, 2025. Most provisions are effective immediately, with some taking effect on September 30, 2025.

Economic Development

Includes significant allocations for statewide economic growth initiatives and infrastructure improvements.

Tax Cuts

Implements various tax reduction measures aimed at businesses and individuals across the state.

School Financial Guidelines

Establishes new and restrictive financial parameters for Ohio's public school districts that limit local control.

School Funding Provisions in HB 96

Cash Balance Cap

New tiered process allows county budget commissions to reduce a school district's property tax millage if cash reserves exceed **40%** of previous year's general fund expenditures.

Districts can adopt a resolution to reserve funds for permanent improvements for up to three years, which won't count toward the cap.

This provision was vetoed.

Fair School Funding Plan

Extends the FSFP phase-in but maintains outdated statewide average base cost per pupil for FY 2026-2027 without adjustment for current costs.

Decreases "bridge funding" from 95% to 90% of the FY 2021 base amount in FY 2027.

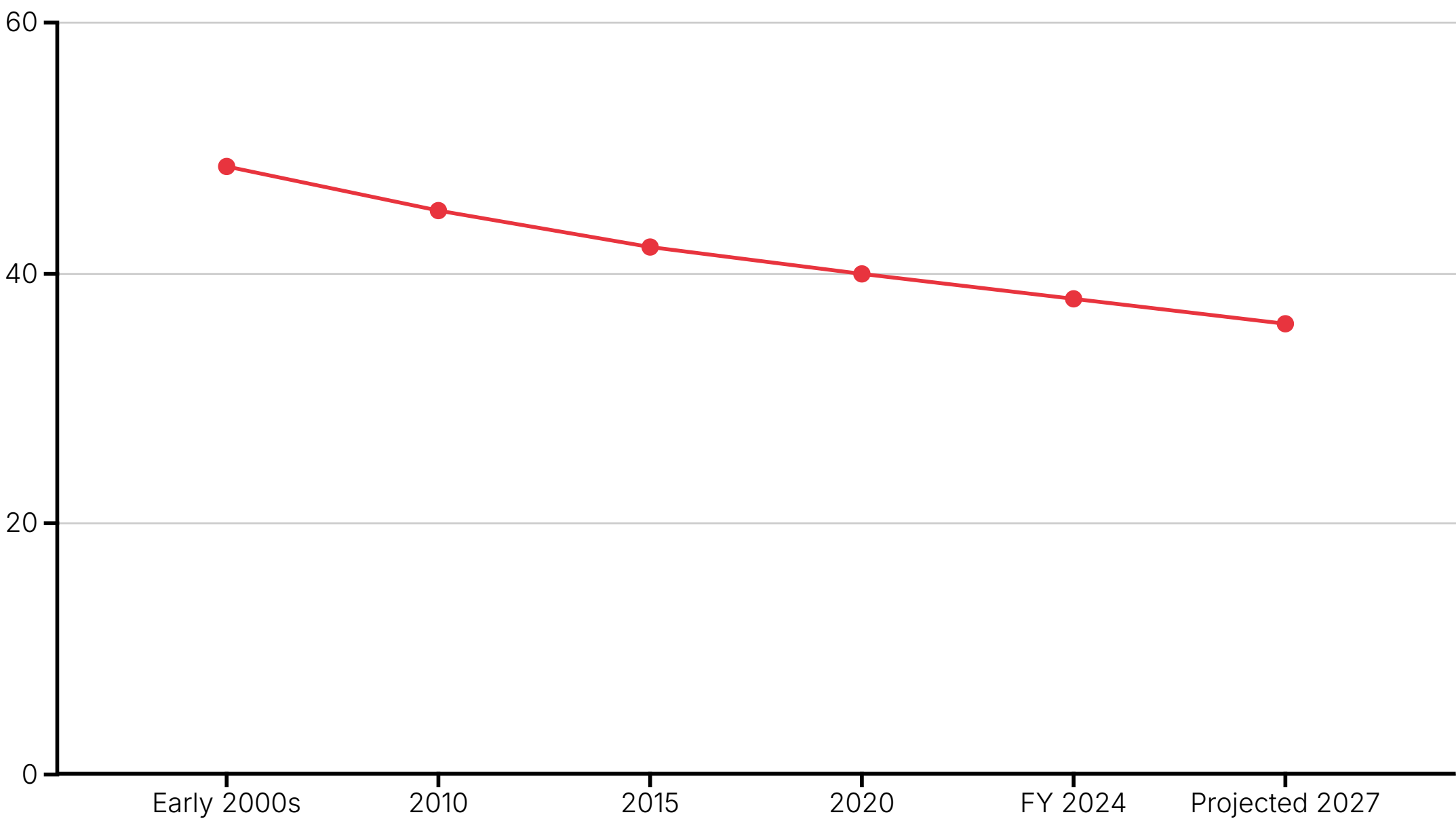
Tax Levy Restrictions

Eliminates several levy types after January 1, 2026, including fixed-sum emergency levies and substitute levies.

Prohibits districts from proposing new current expense levies if general fund carry-over balance exceeds 100%.

This provision was vetoed.

The Declining State Share of School Funding



While HB 96 provides a **\$555 million** increase in state aid for public schools over the biennium, the funding formula continues to shift financial burden to local property owners by:

- Using outdated base cost inputs that don't reflect current economic realities
- Reducing "bridge funding" guarantees that many districts rely upon
- Forcing districts to increasingly depend on local revenues to close the funding gap

This long-term trend is a major reason why local property tax levies are so crucial for districts like ours and contributes to growing "property tax fatigue" across Ohio.

Direct Impact on Brecksville-Broadview Heights City Schools



Financial Instability

The **40% cash balance cap** undermines our district's long-standing fiscal model of responsible planning and saving early in levy cycles to maintain operations as expenses increase. **Again, this was vetoed**



Shortened Levy Cycle

Limited cash reserves may force our district to return to voters for new levies more frequently, creating financial unpredictability for our entire community.



Loss of Local Control

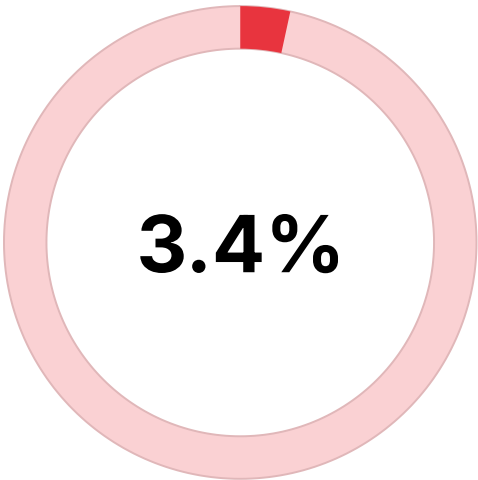
Legislation transfers significant decision-making authority away from our locally elected Board of Education to the County Budget Commission, potentially overriding voter-approved levies.



As of today, many of these provisions do not affect BBHCSD, but that is most likely temporary.

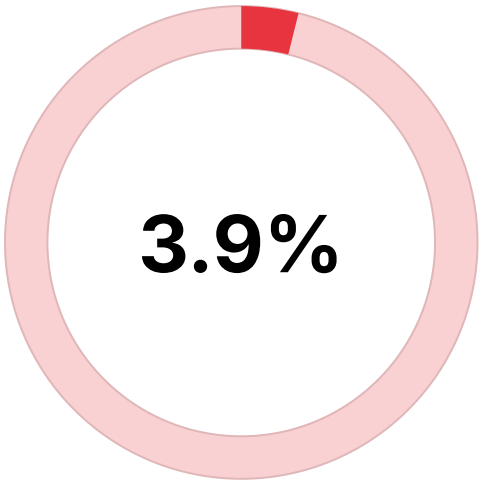
Future requirements are likely to look at all funds which will be more attacks on where districts house their funds and plan for the future.

Funding Increases vs. Inflation: A Closer Look



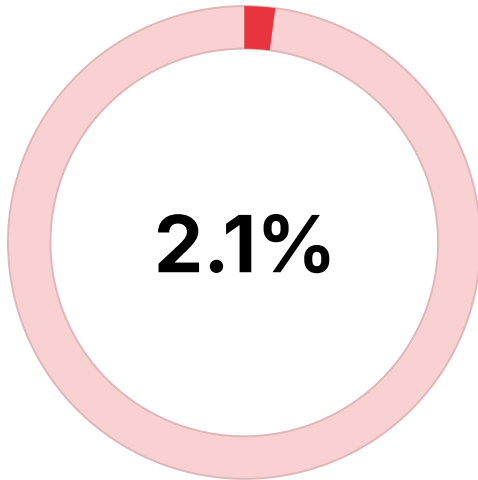
Current Inflation Rate

Year-over-year increase in Consumer Price Index for the Midwest region (includes Ohio) as of August 2025.



Core CPI Increase

"Core" inflation rate excluding volatile food and energy prices, showing persistent upward pressure on costs.



Average State Funding Increase

Approximate increase in state funding for most districts under HB 96, significantly below inflation rate.

The Financial Squeeze

When funding increases fall below inflation, our district's purchasing power actually **declines**. This creates a difficult financial situation where:

- Rising costs for teacher salaries, materials, utilities, and transportation outpace funding increases
- The district must cover the growing deficit while facing caps on cash reserves
- Long-term financial planning becomes increasingly challenging and unstable

Gubernatorial Vetoes and Legislative Response



The Vetoes

Governor DeWine vetoed **67 line-items** from HB 96, including key provisions that would have:

- Given county budget commissions authority to unilaterally reduce school district levies
- Made significant changes to property tax calculations
- Further undermined local control of school finances

House Override Vote

The Ohio House voted 61-28 to override **Veto Item #66**, which would eliminate several levy types and restrict new levies based on district carry-over balances.

Property Tax Reform Working Group

Governor DeWine has convened a group including local government officials, county auditors, and school superintendents to develop solutions by September 30.

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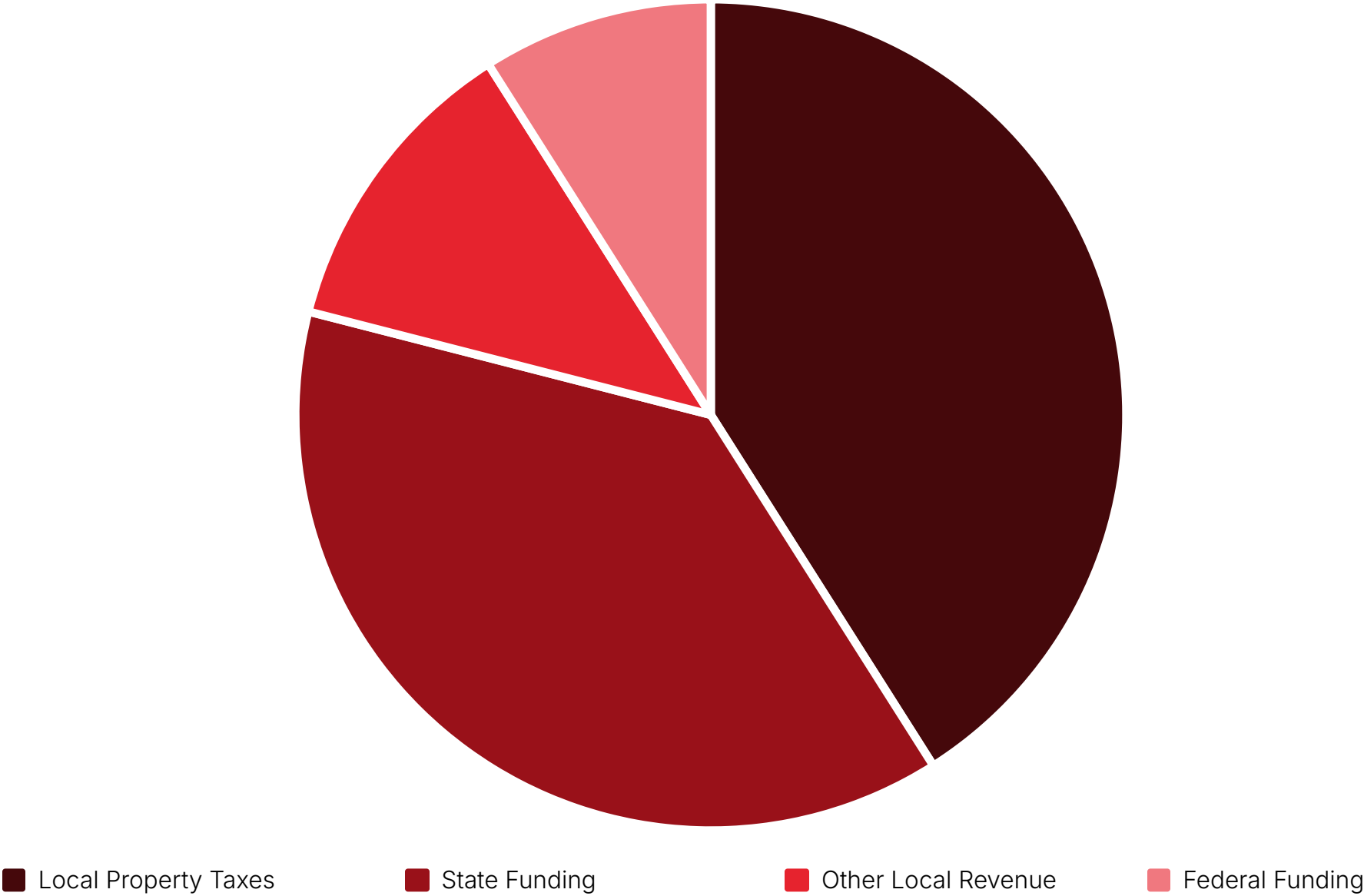
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Senate Consideration

The provision will not become law unless the Ohio Senate also votes to override the veto. Speaker Huffman has indicated these overrides will be considered this fall.

The Big Picture: Property Tax Burden Shift



The Consequences of State Funding Decline

The chart above displays as a whole, 53% of school funding is coming from local funding. 38% is coming from the state and 9% from the federal government.

As state funding shrinks as a percentage of total school revenue, local communities bear an increasing burden. For Brecksville-Broadview Heights, this means:

- Greater dependence on local property values and tax rates - **already sitting at approximately 71%**
- Increased levy frequency without the ability to maintain adequate reserves (if the 40% veto is overridden)
- More difficult long-range planning due to funding unpredictability
 - President Trumps Federal FY26 Budget calls for the elimination of Title II, Title III and Title IV funding.

Summary and Call to Action

Key Concerns with HB 96

- Cash reserve caps limit our fiscal responsibility and planning - we hope this veto stands!
- New levy restrictions reduce local control and financial flexibility
- Funding increases fail to keep pace with inflation
- The continuing shift of funding burden to local taxpayers is unsustainable

This budget bill threatens our long-term financial stability and transfers local control away from our community.



Monitor Legislature

Stay informed about potential veto overrides this fall that could impact our district's future.



Community Engagement

Foster active community participation and information sharing about the impacts of these policy changes.



Advocacy

Communicate with state legislators about the real-world consequences of these funding changes for our students and community.

*Do taxpayers feel the funding burden of their local schools, libraries and safety services? **ABSOLUTELY!** But it's important to remember that it is the policies and the rules we all have to comply with that have put us in this situation. HB126 harmed BBHCSD residential taxpayers, elimination of new levies from homestead and rollback harmed BBHCSD residential taxpayers along with other laws over the past 30 plus years. More to come on this topic (unfunded mandates) in the future.*